

Customer Churn Analysis

FreshKart

An E-Commerce company that was losing customers fast

→ *hurting growth* & *burning acquisition spend*

Negative Impacts:

- **High CACs** going to waste
- Revenue targets getting **harder to hit**
- Growth **momentum slowing down**
- **Team morale dropping** as efforts aren't sticking
- Investors asking **tough questions** about unit economics
- Marketing spend efficiency **declining MoM**
- **CLTV dropping** below acquisition cost

My Analysis Approach:

I analyzed FreshKart's **4,029 customers** → **8 key dimensions:**

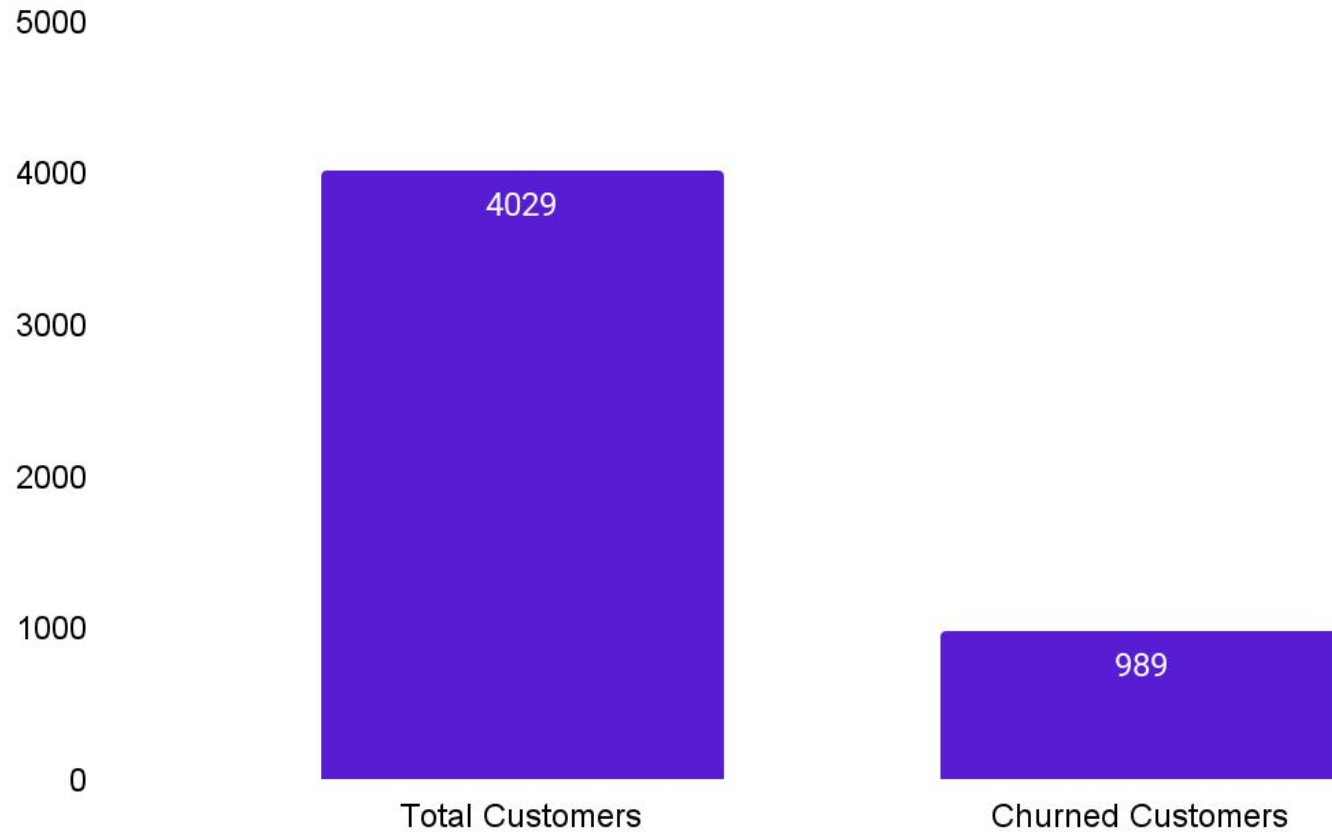
Churn Rate:

- vs **Tenure** → When do customers leave?
- vs **Payment Mode** → Which payment methods predict loyalty?
- vs **City Tier** → Geographic patterns in customer behavior
- vs **Login Device** → Desktop vs mobile performance gap
- vs **Satisfaction Score** → The 5-star customer paradox
- vs **Distance from Warehouse** → Delivery proximity impact
- vs **Cashback** → Do heavy discounts work?
- vs **No of Devices Registered** → How does account sharing affect retention?

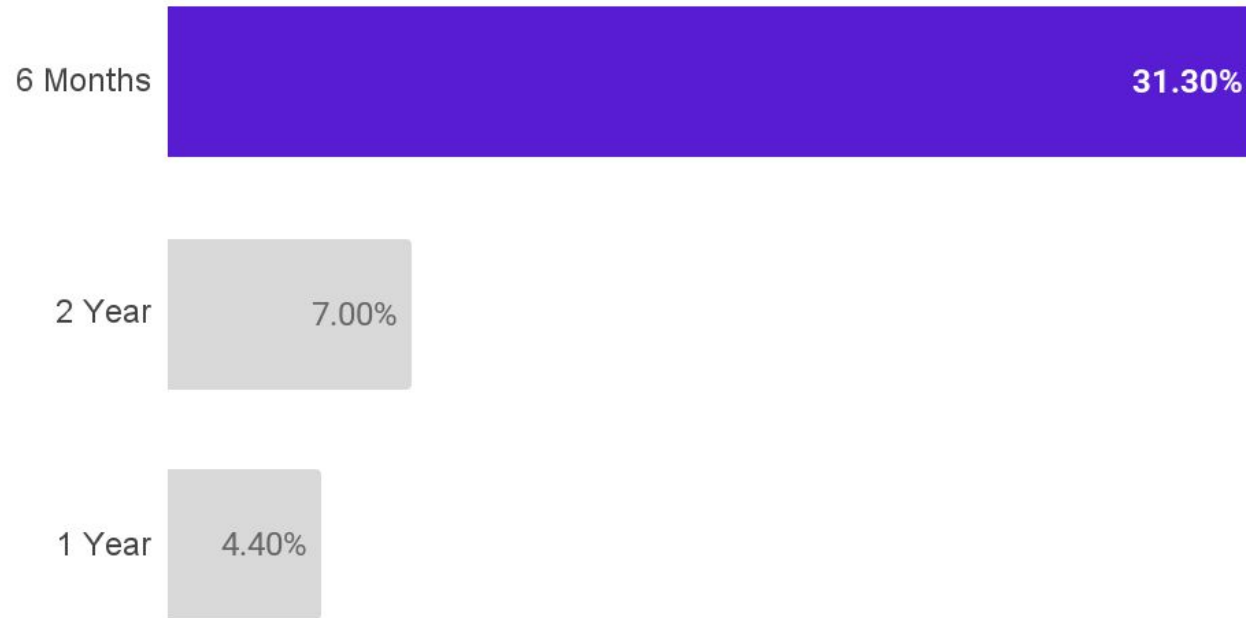
Let's explore each dimension →

Total vs Churned Customers

Churn Rate - 24.5%



Churn Rate vs Tenure



Root Causes:

- Customers still shopping around → easy to switch
- Bad first experience → instant exit
- No emotional connection → no reason to stay

Recommendations:

- Kill Early Anxiety:

- Security badges everywhere → instant credibility
- Proven results: At my current org., "As seen on Shark Tank" + "87k+ Instagram family" badges helped increased the UPI prepaid rate to 64%
- Crystal clear return policy upfront → removes purchase fear
- Customer reviews prominently displayed → social proof validation

- First Regular Attention:

- Gamified milestones → 3 orders = free delivery month
- Surprise perks every 2 weeks → maintains excitement & expectation
- Small wins that feel big → builds loyalty foundation
- WhatsApp marketing plays a key role in keeping the new users pinned

- **Get them past 6 months → you keep them for years**

Root Causes:

Customers still shopping around

→ *easy to switch*

Bad first experience

→ *instant exit*

No emotional connection

→ *no reason to stay*

Recommendations:

1. Kill Early Anxiety

- Security badges everywhere → instant credibility

- Proven results: At my current org., "**As seen on Shark Tank**" + "**87k+ Instagram family**" + "**10 lac customers**" badges helped increased the

Confidence Rate (UPI) to 64%

- Crystal clear return policy upfront → removes purchase fear

- Customer reviews prominently displayed → social proof validation

2. First Regular Attention

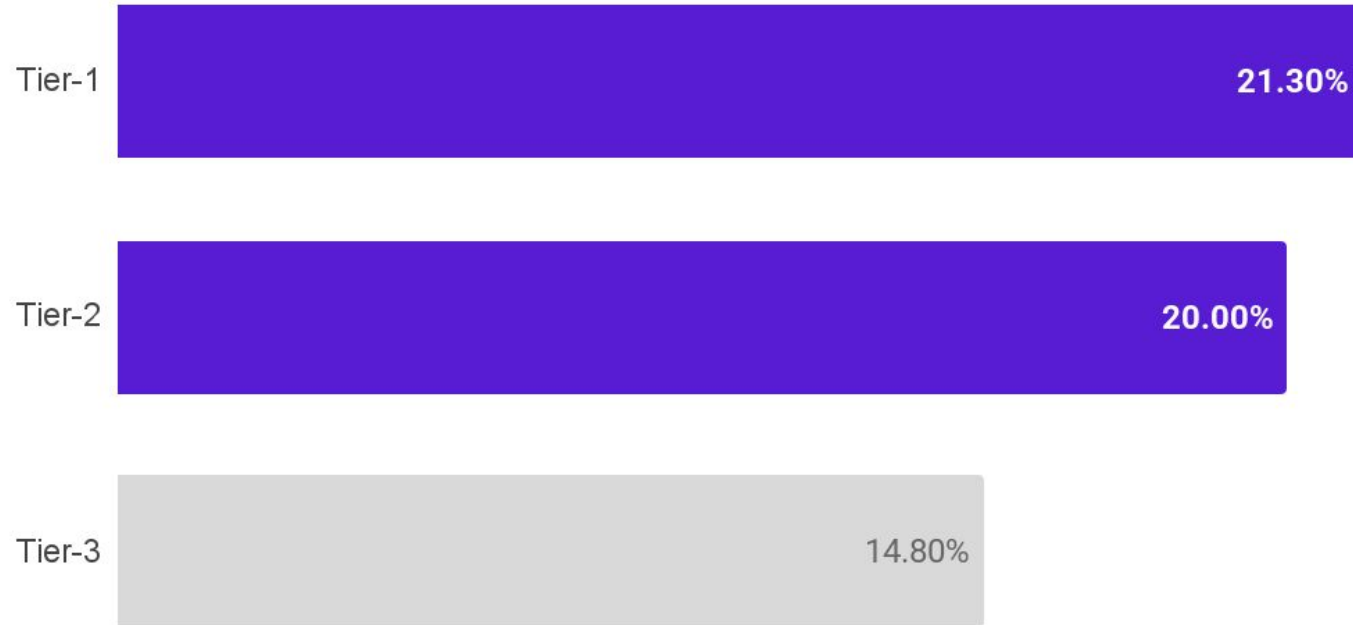
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- Small wins that feel big → builds loyalty foundation

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- WhatsApp retention marketing plays a key role in keeping the new users pinned

Churn Rate vs CityTier



Root Causes:

- Metro = higher expectations, lower tolerance for mistakes
- Urban location → everyone fighting for same wallet
- Tier-3 advantage: fewer alternatives + higher trust = natural stickiness

Recommendations:

- Exclusive loyalty tier for Tier-1/2 customers:

- Free delivery always
- Same-day guarantee
- Priority support line
-
- **Meet their high expectations or lose them to competitors**

- Using Local Cultural:

- Local festival campaigns for deep engagement:
 - Ganesh Chaturthi specials (Mumbai)
 - Durga Puja offers (Kolkata)
 - Regional language promotions
-
- **Proven results: Cultural campaigns at current org. showed 1-2% higher DRR of units sold vs BAU days**
- Creates city-specific moats competitors can't easily replicate

- Win back urban customers by being faster, more exclusive, and more local than the competition

Root Causes:

Metro Markets = Higher Expectations

→ lower tolerance for mistakes

Urban Saturation Problem

→ everyone fighting for same wallet

Tier-3 Advantage

→ fewer alternatives + higher trust = stickiness

Recommendations:

1. Exclusive Metro Loyalty Tier

- Free delivery threshold → acknowledges higher competition

Metro (₹199) vs Tier-3 (₹299)

- Same-day guarantee → beats competitor standards

- Priority support line → VIP treatment experiences

2. Leverage Local Cultural Connection

- Local festival campaigns → deep community engagement

- Regional language promotions → authentic local feel

- City-specific celebrations (Ganesh Chaturthi Mumbai, Durga Puja Kolkata) → cultural relevance

- City-specific landing pages with **top selling** products & **local language** showed

1-2% higher DRR vs BAU days

- Regional language Meta Ads/reels → Attract local/cultural customers

Churn Rate vs Login Device



Root Causes:

- UX/UI Gap → Slow pages + outdated design + clunky checkout
- Wrong user mindset → Desktop = browsing, Mobile = buying
- Payment friction → Mobile has UPI/wallets, Desktop needs more steps

Recommendations:

- Fix Desktop Fast:

- Run conversion funnels → identify exact drop-off points
- Speed optimization → target <3 second load times
- Streamline checkout → reduce steps from 5 to 3
- High development effort, slow results

- Better to Push Users to Mobile:

- Offer app-only discounts to desktop users
- Get 10% off - Download & Buy on App

- Desktop loses 3.5% more customers. Fix desktop UX or move users to mobile.

Root Causes:

UX/UI Gap

→ *slow pages + outdated design + clunky checkout*

Wrong user mindset

→ *Desktop = browsing,
Mobile = buying*

Payment friction

→ *Mobile = UPI/wallets,
Desktop = more steps*

Recommendations:

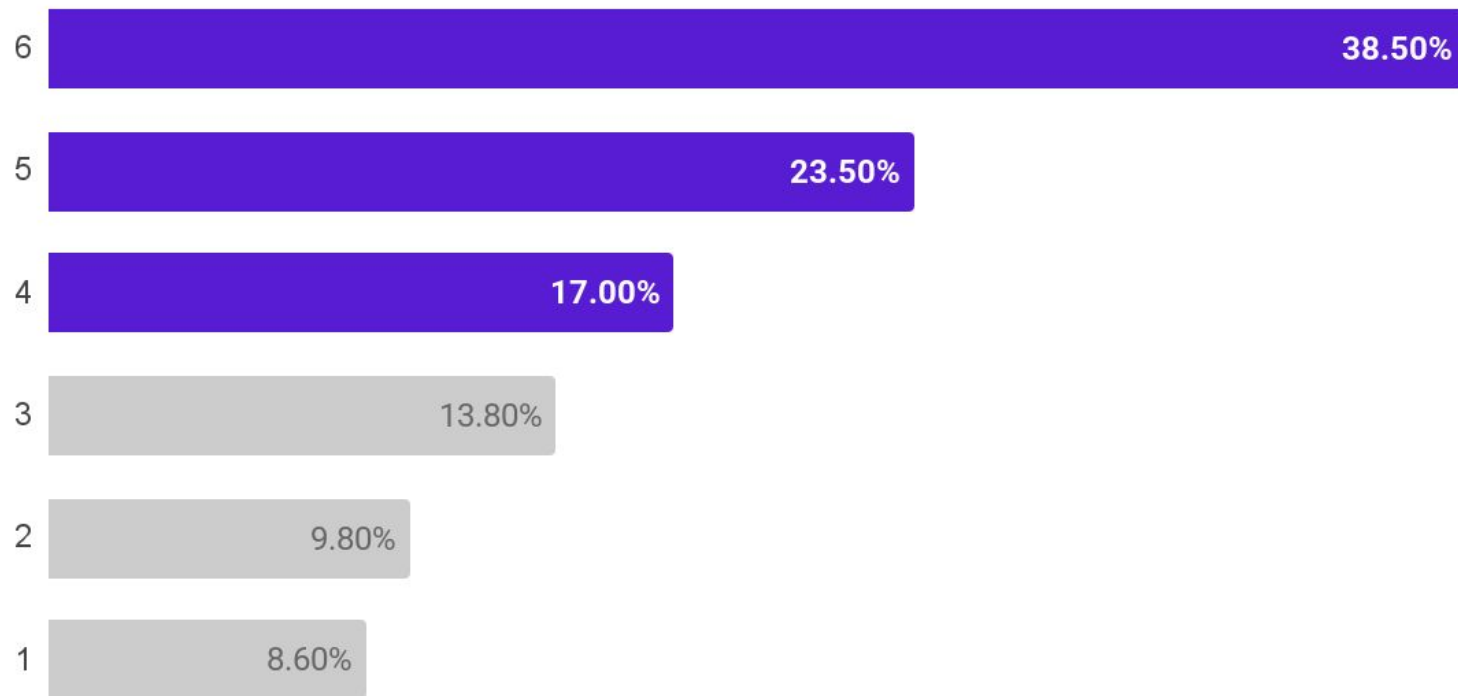
1. Push Users to Mobile

- Offer app-only discounts to desktop users
- **App-only** flash sales → create urgency for mobile downloads
Get 10% off - Download & Buy on App
- Desktop popup overlay → "Better experience on mobile app"
- QR code checkout → **scan to complete** purchase on phone
App users spend 40% more per transaction

2. Fix Desktop Fast

- Run conversion funnels → identify exact drop-off points
- Auto-fill checkout forms → reduce manual entry
- Speed optimization → Target <3 second load times
- Streamline checkout → reduce steps from 5 to 3

Churn Rate vs No of Devices Registered



Root Causes:

- Account sharing = killing personalisation:
 - More Users → Different Tastes → Diluted Engagement → Abnormal Suggestions
- Security fears grow:
 - Too many devices → customers worry about safety → trust erodes
- Broken User Journey:
 - Phone vs tablet vs laptop = different features, speeds, sessions → frustrated customers leave

Recommendations:

- Focus your fire:

- Stop spreading offers across all devices → target their top 1-2 devices only → sharper relevance
- Premium plans with controlled device slots → reduces sharing + positions as security upgrade
- Limit devices/plan (Netflix model) → reduce sharing while positioning as security feature

- Single device users: 8.6% churn; Six device users: 38.5% churn

- Clear pattern: Device count up → Loyalty down

Root Causes:

Account sharing kills personalization

→ *diluted engagement & poor suggestions*

Inconsistent cross-device experience

→ *frustrated users leave platform*

Security fears from device overload

→ *trust erosion & safety concerns*

Recommendations:

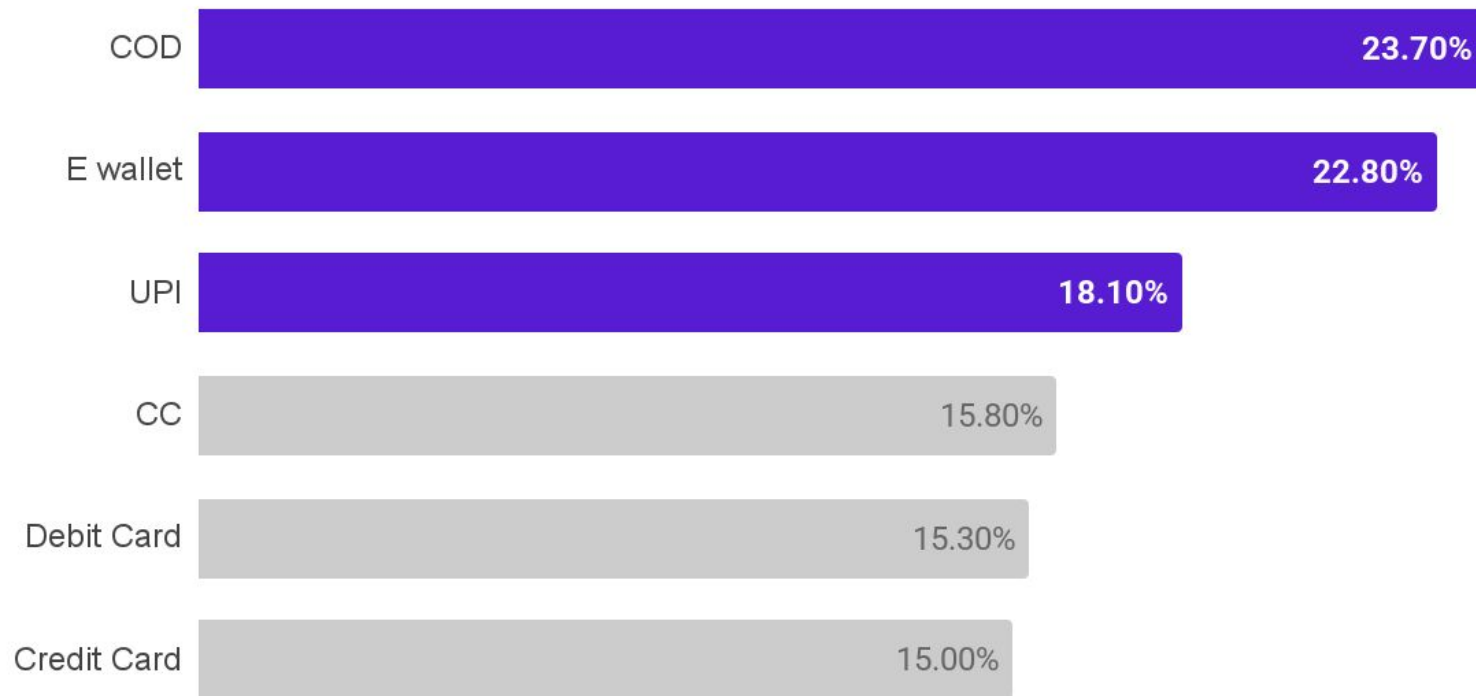
1. Device-Focused Targeting

- Security badges everywhere → instant credibility
- Stop spreading offers across all devices → target their top 1-2 devices only
- Focus marketing spend on high-usage devices → sharper relevance & ROI
- Personalize experience based on primary device behavior → better recommendations
- Security badges everywhere → instant credibility

2. Premium Device Control Strategy

- Premium plans with controlled device slots → reduces sharing + positions as upgrade
- Premium plans with controlled device slots → reduces sharing + positions as upgrade
- Frame device restrictions as security enhancement → builds trust instead of frustration

Churn Rate vs Payment Mode



Root Causes:

- COD = Trust Issues
First-time buyers choose COD because they don't trust you yet → they try once → many never come back
- UPI/Cards = Your Best Customers
Digital-savvy users who trust online payments → they shop regularly → only 15-18% churn

Recommendations:

- Partial COD (P-COD):

- Make COD users pay 10-15% upfront online → rest on delivery
- Result: Covers your logistics costs + customer is also satisfied
- Implemented this system at current org.s → sharp decline in COD orders

- Force migrate the COD Users:

- Give instant 5% discounts & free shipping to COD users who switch to digital payments
- We give free gifts but snatch it from the COD users
- Showing high delivery timelines for COD → when a customer places an order, their excitement spikes → less patience
- Right now, our UPI usage is 64% (All time high)

- Payment method = loyalty predictor

- Convert risky payment users into loyal digital customers

Root Causes:

COD users don't trust digital payments yet

→ try once, many never return

First-time users default to COD for safety

→ creates one-time transaction mindset

Digital payment users are naturally loyal

→ only 15-18% churn vs higher COD churn

Recommendations:

1. Partial COD (P-COD) Implementation

- Make COD users pay 10-15% upfront online → rest on delivery

- **Sharp decline** in COD orders after implementation

UPI Rate to 64% (all time high)

- Covers logistics costs + maintains customer satisfaction

- Creates commitment without full payment risk

- Builds trust gradually → easier future conversion to full digital

2. Force Migration to Digital Payments

- Instant 5% discounts + free shipping for COD users who switch

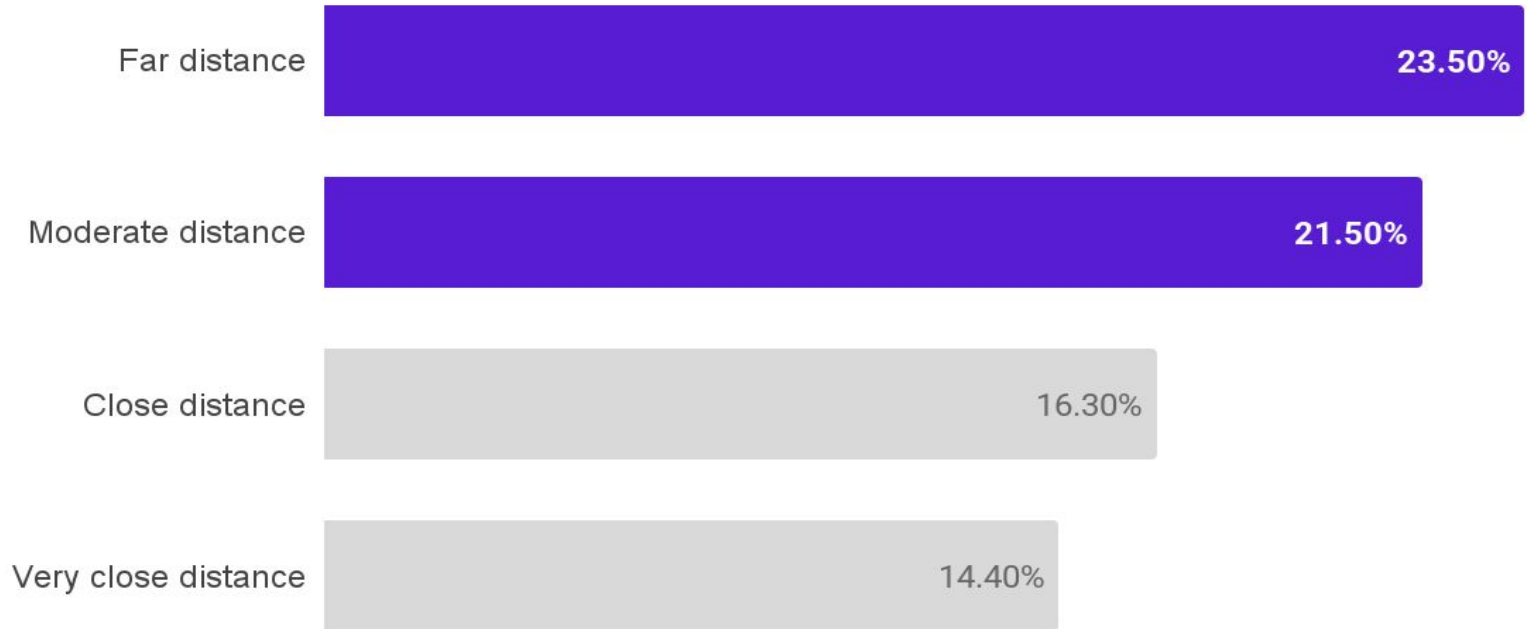
- Small wins that feel big → builds loyalty foundation

- Showing high delivery timelines for COD → when a customer places an order, their excitement spikes → less patience

- Remove perks exclusively for COD users (gifts, priorities)

- Auto WhatsApp after COD order → "Switch to UPI now for ₹X (5% off)" with direct payment button

Churn Rate vs Distance Between Warehouse and Home



Root Causes:

- Far customers = Frustrated customers
- Peak experience → next interaction feels disappointing → they leave
- Slow delivery → broken promises
- Higher costs → fewer offers
- Poor experience → unfair comparisons with urban customers

Recommendations:

- Get Closer

- Open micro-warehouses → cut delivery distance in half

- Autoalert far customers:

- "You're 15km from warehouse - delivery may take extra 20 mins" → Better than promising 10 mins gimmick and failing
- Honest communication beats broken promises every time

- Make It Fair:

- Give far customers extra perks: Free delivery vouchers & Priority support

- Distance = Churn

- Close the gap or lose the customer

Root Causes:

**Far customers =
Frustrated customers**

→ *distance breeds
dissatisfaction*

**Slow delivery = broken
promises**

→ *trust erosion with every delay*

**Peak experience = next
interaction feels
disappointing**

→ *they leave for consistent
alternatives*

Recommendations:

1. Get Closer & Communicate Better

- Open micro-warehouses → cut delivery distance in half

- **Autoalert far customers:** Honest communication beats broken promises

You're 15 km far - delivery may take extra 20 mins

- Better than promising 10 mins gimmick and failing

- Creates commitment without full payment risk

- Transparency builds long-term loyalty over short-term convenience lies

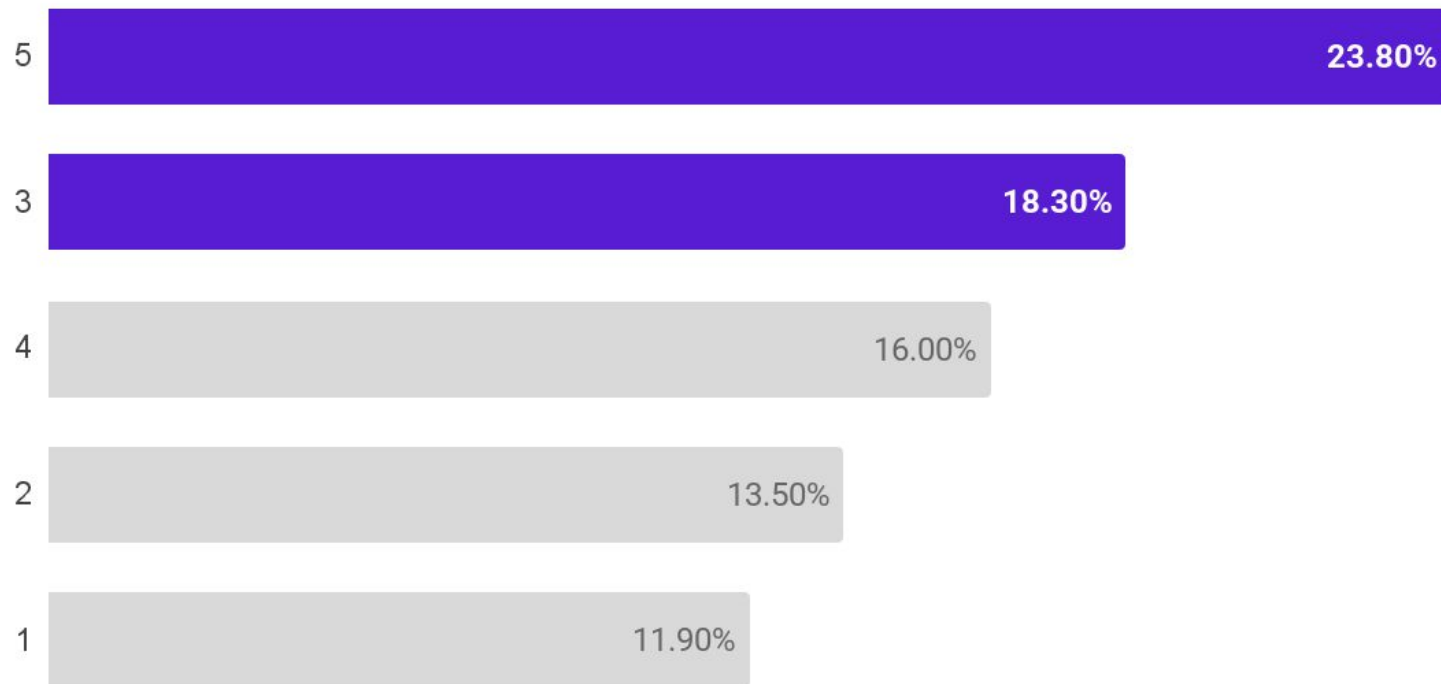
2. Make It Fair

- Give far customers extra perks: Free delivery vouchers

- Priority customer support for distance-affected order

- Distance kills relationships - close the gap or close with honesty

Satisfaction Score vs Churn Rate



Root Causes:

- Expectation Trap = peak experience → next interaction feels disappointing → they leave
- High score from single good moment ≠ lasting loyalty
- 5-scorers = high-value customers → jump ship faster for better deals
- Extreme satisfaction = fragile loyalty

Recommendations:

- Stop spending retention money on 1-2 star customers (they stay anyway)
 - Redirect budget to 5-star segment (highest churn risk)
- Hammer when iron is molten red (fav advice from the co-founder of my current organisation:
 - 5-star feedback → immediate loyalty perks/early access → cement the relationship

Root Causes:

Expectation Trap

→ *peak experience creates
impossibly high bar for next
interaction*

Single Moment Illusion

→ *one good experience ≠
lasting loyalty foundation*

5-Star Flight Risk

→ *highest satisfaction
customers jump fastest for
better deals*

Recommendations:

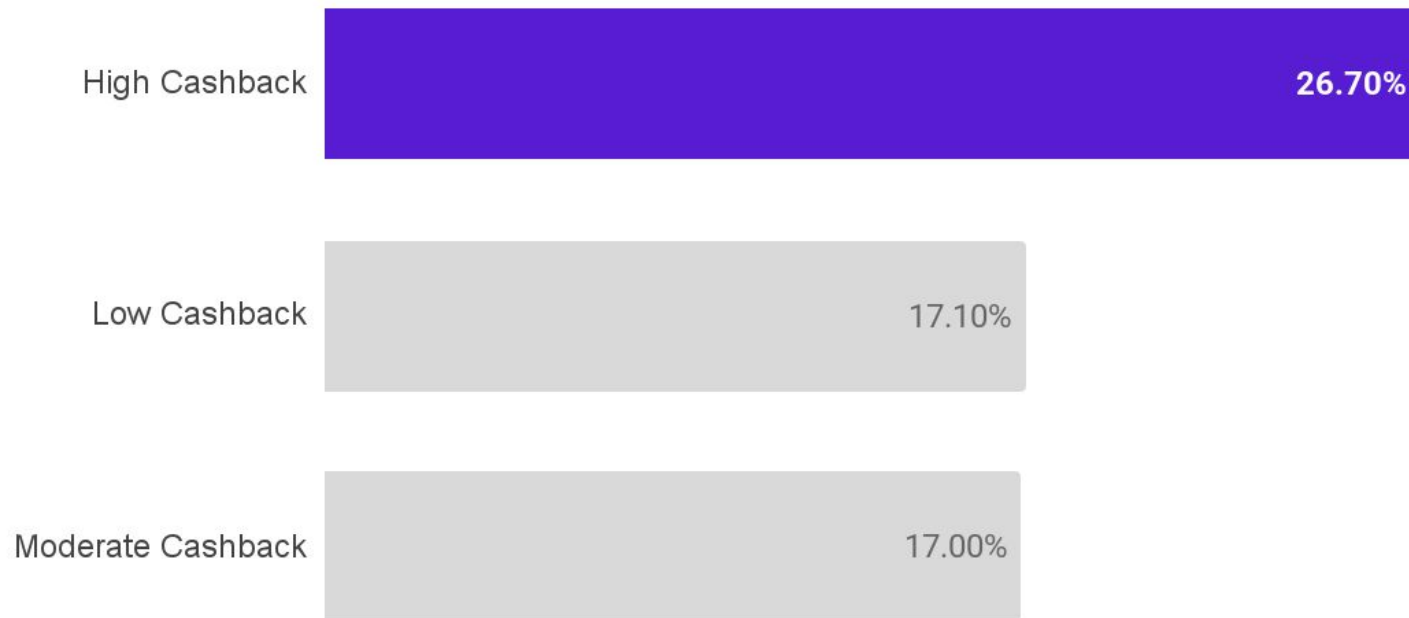
1. Redirect Retention Investment

- Stop wasting budget on 1-2 star customers → they stay anyway due to inertia
- Focus 80% of retention spend on 5-star segment → highest ROI potential
- Track satisfaction-to-churn correlation → data-driven budget allocation

2. Strike While Iron is Hot

- 5-star feedback triggers instant loyalty perks → cement the relationship immediately
- Build exclusivity around high satisfaction → make them feel special, not just satisfied
- Send personalized thank-you video from CEO after 5-star review → emotional connection

Correlation Between Cashback and Churn Rate



Root Causes:

- Heavy cashback = attracts bargain seekers who vanish when deals end
- High rewards today = disappointed customers tomorrow when offers shrink
- Gives an image of a sleazy company

Recommendations:

- Smart perks that money can't buy:

- Early sale access
- Free delivery passes
- Personal recommendations

- My personal favorite, free gifts:

- At my current organization, we believe free gifts > flat discounts
- We always market our biggest sales → “free gifts on every order*” → urgency + surprise + emotional value → loyalty
- Helps the customer to come back again with just a small nudge

- Replace flat cashback with progressive rewards:

- 3rd order → bonus cashback
- 5th order → milestone voucher
- 10th order → free deliveries

- Stop paying customers to leave. Start rewarding them to stay.

Root Causes:

Heavy cashback attracts bargain seekers

→ disappear when deals end

High rewards today create expectations

→ disappointed customers when offers shrink

Excessive discounting = salezy brand image

→ reduces perceived value

Recommendations:

1. Smart Perks That Money Can't Buy

- Early sale access → creates VIP feeling and exclusivity
- Priority customer support → makes customers feel valued
- Personal recommendations → builds relationship beyond transactions

2. Replace Flat Cashback with Progressive Rewards

- Tiered milestones (3rd, 5th, 10th orders) → builds long-term engagement
- Indian users love tangible rewards over abstract cashback → free gifts work better
- During monthly sales: **Free gifts on every order** → urgency + surprise + emotional value helped brand

Reaching Repeat rate > 40%

This Analysis Used Open-Source Data...

Imagine Your Real Data

What You Just Saw:

Powerful insights from limited data

Strategic analysis revealing hidden patterns

Clear identification of revenue leaks

Actionable recommendations with proven frameworks

Strategic & data-driven insights with proven methodologies

What You'll get:

✓ Identify massive **hidden opportunities** across YOUR business

✓ Pinpoint exactly where YOUR biggest **losses** are hemorrhaging

✓ Find YOUR **highest-ROI growth** levers for exponential returns

✓ Eliminate YOUR **costly acquisition mistakes** bleeding budget

✓ Optimize YOUR **pricing strategy** for maximum profit margins

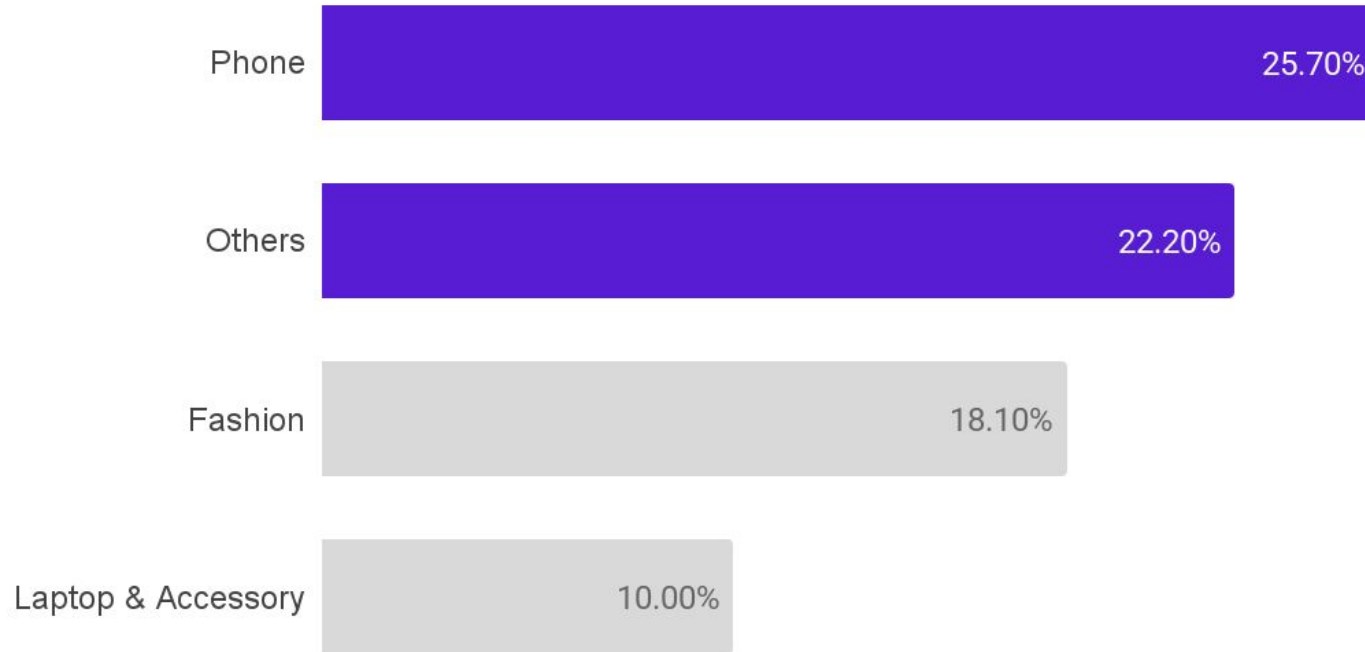
I'm Ayan Khan

A business-problem solving Data Analyst, working at
→ India's one of the top **D2C home decor** brand

Top 3 Key Achievements:

- Spotted a **≈\$750K business problem** everyone else ignored - hiding in plain sight within a "perfectly working" system
- Scaled a marketplace channel organically by **3x in less 2 months** through data analysis
- My automations freed up **300+ hours** of manual work - teams now focus on growth instead of repetitive tasks

Churn Rate vs Device Category



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Coupons Usage Among Customers



Churn Rate vs Gender



Average Hours Spent on Marketplace



Average Days Since Last Order by Churned Customers

3.35